ACC501 - Business Finance (Quiz # 2)

Question # 1 of 10 (Start time: 04:01:54 PM, 18 June 2025)

When real rate is _____, all interest rates will tend to be _____.

Select the correct option

○	High; lower
○	Low; higher
○	None of the given options
◉	High; higher

ACC501 - Business Finance (Quiz # 2)

Question # 6 of 10 (Start time: 04:03:14 PM, 18 June 2025)

Internal Rate of Return (IRR) is sometimes referred to as:

Select the correct option

○	Simple Interest Rate
○	Compound Interest Rate
○	Required Rate of Return
●	Economic Rate of Return

ACC501 - Business Finance (Quiz # 2)

Question # 4 of 10 (Start time: 04:02:44 PM, 18 June 2025)

One would be indifferent between taking and not taking the investment when:

Select the correct option

◉	NPV is equal to Zero
○	NPV is less than Zero
○	All of the given options
○	NPV is greater than Zero

ACC501 - Business Finance (Quiz # 2)

Question # 5 of 10 (Start time: 04:03:02 PM, 18 June 2025)

The coupon rate of a floating-rate bond is capped and upper and lower rates are called:

Select the correct option

○	Surplus
○	Limit
○	Float
◉	Collar

ACC501 - Business Finance (Quiz # 2)

Question # 10 of 10 (Start time: 04:04:13 PM, 18 June 2025)

In which type of the market, previously issued securities are traded among investors?

Select the correct option

◉	Secondary Market
○	Primary Market
○	Tertiary Market
○	None of the given options

ACC501 - Business Finance (Quiz # 2)

Question # 2 of 10 (Start time: 04:02:11 PM, 18 June 2025)

Which one of the following terms refers to a percentage change in the purchasing power of the investor?

Select the correct option

○	Nominal return
○	Un-adjusted inflation return
○	The inflation rate
◉	Real return

ACC501 - Business Finance (Quiz # 2)

Question # 9 of 10 (Start time: 04:03:59 PM, 18 June 2025)

Which of the following is an example of positive covenant?

Select the correct option

○	Restricting pledging assets to other lenders
○	Limiting the amount of dividend according to some formula
○	Barring merger with another firm
●	Maintaining any collateral or security in good condition

ACC501 - Business Finance (Quiz # 2)

Question # 7 of 10 (Start time: 04:03:34 PM, 18 June 2025)

ABC Company issues 5 year bonds having following characteristics:
Rs. 1,000 face value, initial price Rs. 497 and yield to maturity is 15%.
Bonds issued by ABC Company falls under which one of the following type of bonds?

Select the correct option

○	Convertible bonds
○	Government bonds
○	Floating-rate bonds
●	Zero coupon bonds

ACC501 - Business Finance (Quiz # 2) Quiz Start

Question # 8 of 10 (Start time: 04:03:47 PM, 18 June 2025)

Which of the following capital budgeting technique is used by the financial management to increase the share value of the company?

Select the correct option

- ○ Payback period
- ○ IRR
- ◉ NPV
- ○ PI

Click to Save Ans

ACC501 - Business Finance (Quiz # 2) Quiz Start Time

Question # 3 of 10 (Start time: 04:02:30 PM, 18 June 2025)

Between the two identical bonds having different maturity periods, the price of the _____ bond will change less than that of _____ bond.

Select the correct option

- ○ None of the given options
- ○ lower-coupon; higher-coupon
- ◉ short-term; long-term
- ○ long-term; short-term

Click to Save Answer &